

I do not really agree with your analysis for the calculation. It is irrational and with serious side-effects. If a PE doesn't match the budget in its plan, then it can never purchase anything. Worse, this logic will force the PE to invent purchases. A budget is just that - very indicative and forcing exact matches is bad. I find it hard that the law forces this issue. Attached is a review of other sources.

Can you review and justify your position?

Response

You are right. I cannot justify my earlier position as stated.

I incorrectly treated the **approved budget ceiling** as synonymous with the **annual procurement-plan value**. The law does not clearly support that equivalence, and applying it produces exactly the irrational consequences you identified: unused budget headroom becomes a compulsory procurement target, a PE may be unable to approve any plan, and planners are incentivised to invent or inflate purchases.

The correct separation

Amount	Meaning	Proper control
Approved budget	Maximum funding authority available	The procurement plan must not exceed it
Annual procurement-plan value	Estimated value of procurements the PE genuinely expects to undertake	Basis for planning and scheduling
AGPO-eligible planned value	Planned procurement value legally capable of being reserved	Appropriate planning denominator for the 30% calculation
Actual procurement value	Procurements ultimately undertaken or awarded	Basis for implementation reporting

These amounts need not be equal.

1. The budget is a ceiling, not a compulsory spending target

Section 53(2) requires an annual procurement plan that is realistic and **within the approved budget**. “Within” does not mean “equal to.” (new.kenyalaw.org)

The 2020 Regulations reinforce this distinction. The consolidated plan contains each required procurement, its estimated package value, available budget and funding source. The prescribed plan format lists the planned procurements and their estimated costs; it does not require the total to exhaust the approved budget. (treasury.go.ke)

Therefore:

APP planned value $\leq$ approved procurement budget

There is no general requirement that:

APP planned value = approved procurement budget

The attached review is correct on that central point.

Reinterpreting the 30% rule

Regulation 149 says that at least 30% of the PE's annual procurement budget must be allocated to enterprises owned by youth, women and persons with disabilities. (www.treasury.go.ke)

Read literally and in isolation, “annual procurement budget” is ambiguous. It could mean either:

1. every approved budget line potentially available for procurement; or
2. the annual value of procurement actually planned by the PE.

The rest of the statutory scheme strongly favours the second interpretation—or, more precisely, the **eligible planned procurement value**.

Evidence supporting that interpretation

The Act's implementation measure is based on **procurement value in the financial year**, not on unused budget authority. Section 157(10) requires 30% of procurement value to be allocated to the target groups. (pppkenya.go.ke)

The High Court has described compliance in terms of 30% of the PE's **eligible budgetary allocations**, rather than every budget line without qualification. (sheriahub.com)

PPRA's own reporting describes the denominator as the amount PEs **planned to spend on procurement**, and labels it “Planned Annual Procurement Budget.” (treasury.go.ke)

A published KRA annual procurement plan goes further and calculates AGPO reservation as 30% of the **eligible lines**, demonstrating that operational practice does not necessarily treat every approved budget amount as part of the reservation denominator. (kra.go.ke)

That is a substantially better reading because it:

- supports affirmative procurement allocation;
- respects the budget as a ceiling;
- does not compel expenditure merely because funds were approved;
- does not force artificial procurement;
- accommodates genuinely non-reservable procurement; and
- reconciles planning with eventual actual-procurement reporting.

Correct calculation for the screenshot

The four planned purchases total:

$$150,000 + 100,000 + 125,000 + 89,980 = \text{KES } 464,980$$

If all four purchases are within the eligible AGPO denominator:

$$30\% \times 464,980 = \text{KES } 139,494$$

With every purchase currently designated None:

- eligible planned value: KES 464,980;
- required AGPO allocation: KES 139,494;
- qualifying reserved allocation: KES 0;
- shortfall: KES 139,494.

The KES 160 million remains relevant only as the funding ceiling:

$$464,980 \leq 160,000,000$$

It should not automatically generate a KES 48 million reservation requirement.

If some of the KES 464,980 is not legally eligible for reservation, the denominator should be lower—but every exclusion must come from a verified rule and be explainable.

The necessary safeguard

This does not mean a PE may deliberately omit known purchases to shrink the AGPO target.

The control should be:

1. The APP contains all procurements genuinely expected at approval time.
2. The APP may remain below the approved budget.
3. Known procurement must not be suppressed merely to reduce the AGPO denominator.
4. A later requirement must be added through an approved APP amendment before procurement starts.
5. Every amendment recalculates the eligible plan value and the required AGPO allocation.
6. Actual awards and procurement value are monitored separately during implementation.

This prevents both undesirable extremes:

- no forced spending or invented purchases;
- no strategic under-planning to evade AGPO.

The requirements are wrong here

This is not merely a test-data problem. The Planning requirements I provided contain an erroneous policy interpretation.

Section 5.5.3.1 currently says:

- use the complete approved annual procurement budget;
- include unused lines;
- do not use the Plan total;
- block submission even when the Plan is materially below that budget.

PLN-RI-047 and the KES 160m/KES 48m fixtures repeat that interpretation. Those provisions should be corrected.

The CFG model is closer to what is needed because it distinguishes AnnualProcurementBudget from AnnualProcurementValue, but those terms require precise definitions. Neither should mean the PE's entire approved expenditure ceiling.

Correct KenTender rule

For planning:

$$\text{Required AGPO allocation} = 30\% \times \text{eligible value of the current complete APP}$$

Where:

$$\text{eligible APP value} = \sum \text{estimated value of current Plan Items included by the verified AGPO rule}$$

For implementation monitoring:

$$\text{AGPO achievement} = \frac{\text{qualifying actual procurement value}}{\text{applicable actual procurement value}}$$

The interface should show:

Reserved procurement
 Eligible planned procurement: KES 464,980
 Required allocation at 30%: KES 139,494
 Currently reserved: KES 0
 Remaining: KES 139,494

The KES 160 million budget ceiling belongs in the funding check, not in this calculation.

So the revised conclusion is: **your objection is correct, Claude's KES 48 million explanation follows the current requirements but those requirements encode the wrong denominator, and my earlier defence of that denominator was too rigid.**